

fundamentally ranked companies by Research Affiliates, and the iShares Russell Mid-Cap Value (IWS) ETF from the time when PRF was launched in late 2005. Performance of PRF and IWS has been very similar, with IWS coming out a little ahead.² IWS has an annual expense ratio of 0.25%, versus 0.39% for PRF. Some other passively managed ETFs with factor tilts have annual expense ratios of only 0.07% to 0.12%. Smart beta investors in PRF are paying an additional fee for the construction of an index that is very similar to a traditional mid-cap value index. Other smart beta ETFs similarly match up well with lower-cost value and small-cap/mid-cap ETFs.



Figure 6.1 PowerShares FTSE RAFI 1000 and iShares Russell Mid-Cap Value

Looking now at equal-weighted indexing, the average market cap of the S&P 500 Index is about \$58 billion, while the average market cap of the S&P 500 Equal Weight Index is only around \$16 billion. The S&P 500 Index contains a substantially larger number of relatively smaller-cap stocks than